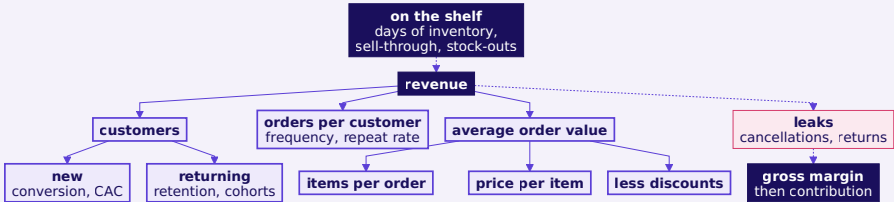


1 The metric tree



Revenue = customers x orders per customer x items per order x price per item, less discounts. Stock on the shelf decides whether any of it can happen, and cancellations and returns leak out before the margin is counted.

The tree counts revenue as GMV, and panel 6 walks it down to net revenue and on to EBITDA.

Crux. Every retail number is a branch of revenue or a leak from it, so find its place on the tree before explaining a change in it.

2 The ten metrics, as formulas

Metric	Formula
Conversion	Orders / visits
AOV	Revenue / orders
Frequency	Orders / customers who ordered
Repeat rate	Buyers with 2+ orders / all buyers
Retention	Cohort buyers in month k / cohort size
CLV	Contribution per order x orders a year x years
CAC and payback	CAC = acquisition spend / new customers; payback = CAC / monthly contribution
Gross margin	(Net revenue less COGS) / net revenue
Days of inventory	Average stock at cost / COGS per day
Like-for-like growth	Stores open all of both periods: sales / the same stores' sales last period, less 1

Crux. Change the divisor and the metric changes.

3 Traps that make a retail number lie

Trap	The check
Denominator shifted	One session rule throughout
Dividing by survivors	Divide by the cohort's starting size
Margin on GMV	Divide margin by net revenue
Missed sales	Count empty shelf-days; a stock-out leaves no row
RTO counted as returns	Count only delivered orders that came back
New stores	Quote like-for-like
Blended CAC	Count only customers the spend brought

Crux. Run each check before the number leaves the team.

4 Twenty words to say fluently

Word	What it means
SKU	One sellable version of a product
GMV	All orders at the prices charged, before cancellations, returns and GST
Net revenue	GMV less cancellations, returns and GST
AOV, ABV	Revenue per order online, per bill in store
MRP	The legal price ceiling, taxes included
Markdown	A permanent cut to clear stock
COGS	What suppliers were paid for goods sold
Contribution	Gross margin less per-order costs
Take rate	A marketplace's fees as a share of GMV
Shrinkage	Stock lost to theft, damage or error
Planogram	Which product goes on which shelf
Footfall	People through a store's doors
Dark store	A warehouse for online orders only
Last mile	The final leg, hub to door
COD	Cash paid when the parcel arrives
RTO	A parcel sent back undelivered
Fill rate	Share of an order a supplier delivered
Sell-through	Units sold / units received
Like-for-like	Growth on stores open throughout both periods
Cohort	Customers grouped by first purchase

5 The rules a retail data team works under

Rule	What the data team does
GST	Says whether GST is inside each revenue column
Legal Metrology	Never prices above MRP
E-commerce 2020	Explicit consent; ranking parameters shown; complaints acknowledged in 48 hours, redressed in a month
Dark patterns	No false urgency, basket sneaking or drip pricing
DPDP	A stated purpose for every use of personal data
RBI tokens	Tokens and last four digits, never card numbers
PCI DSS	Card data stays out of analytics
FDI	Foreign-owned multi-brand e-commerce selling in India runs as a marketplace
CCPA, for US	Requests to know, delete, correct, opt out

6 Where Rs 100 of GMV goes

Line	Left, Rs
GMV	100
Less cancellations, returns	90 kept
Less GST, for the state	80 net revenue
Less cost of the goods	20 gross margin
Less per-order costs	7.5 contribution
Less fixed costs, acquisition	2.5 EBITDA

Crux. On these illustrative numbers, owning the stock leaves about Rs 2.50 of every Rs 100 ordered, so one leak or one price cut can decide the year.